

We go to a general insurer and pay a premium for accident coverage. They protect us from any temporary or permanent disability that arises due to an accident. Insurers divide accident coverage into categories –

TEMPORARY DISABILITY

It refers to those categories of accidents where the person cannot work for a particular period, be it for 6 months, 2 years, or 3 years.

For Temporary Disability, a fixed amount is paid every week or every month during the period of disability where the earning ability has been impacted.

PERMANENT DISABILITY

It refers to those accidents where the person cannot return to work. It has an irreversible impact on earning power.

For permanent disability, the calculation is much more complicated. The insurance companies and regulatory bodies have together identified the 'value of each body part.' This has been done based on the impact of losing one body part on people's ability to work productively.

